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Xiaomi Corp | Asia Pacific

Cutting Price Target to Reflect Headwinds from EV Shipment Weakness and Chipflation

WHAT'S CHANGED		
Xiaomi Corp (1810.HK)	From	To
Price Target	HK$45.00	**HK$32.00**

We acknowledge that Xiaomi is battling near-term headwinds. However, we maintain our long-term positive view on Xiaomi's 'Human+Car+Home' ecosystem with continuous AI investment. Cut PT to HK$32 but maintain OW.

Key Takeaways

- Chipflation has made consensus bearish on smartphone shipment and margin;
- Softer China EV industry sales made it difficult for Xiaomi to achieve its full-year shipment target;
- Cyclical weakness has offered up an attractive entry point.

EV shipment likely to stay at ~180k in 1H26, full-year target difficult to achieve: We estimate Xiaomi's EV shipment at ~100k in 2Q26 and ~180k in 1H26, 33% of its full-year target. Even allowing for product launches in 2H26, we think unlikely that Xiaomi can achieve its full-year shipment target. Thus we cut our EV shipment forecast from 580k to 500k units in 2026 and from 750k to 700k units in 2027.

Victim of chipflation, but AI value fully ignored: Due to significant increases in memory cost, investors are cautious on Xiaomi's smartphone shipment and margin trend in 2026. However, even if we further trim our smartphone shipment, the impact of intrinsic value is limited at only Rmb21bn in our SOTP valuation. Meanwhile, we believe the market has completely ignored Xiaomi's AI value, which we conservatively value at Rmb32bn. Once the company resumes earnings growth, we believe its AI valuation will lift significantly from the current level.

When to invest: For investors with a 12–18 month horizon, we believe the current level offers an attractive entry point. However, smartphone margin pressure is more likely to materialize in 4Q26, and EV weakness could lead to downward revisions to 2026 shipment targets. For investors with only a 3–6 month horizon, a better entry point may emerge in 3Q–4Q26.

Lowering PT to HK$32: With a lower EV shipment forecast, we reduce our EV value from Rmb349bn to Rmb121bn. We also cut our internet division's intrinsic value from Rmb283bn to Rmb176bn to reflect concerns of slowing MAU growth due to less smartphone sales, but include a conservative AI intrinsic value estimate of Rmb32bn. Our new PT of HK$32 implies 22x 2027e P/E and 15x 2028e P/E.

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Xiaomi Corp (1810.HK, 1810 HK)

Top Pick

Greater China Technology Hardware | China

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	HK$32.00
Up/downside to price target (%)	26
Shr price, close (Jul 8, 2026)	HK$25.30
52-Week Range	HK$59.90-21.30
Sh out, dil, curr (mn)	26,695
Mkt cap, curr (mn)	US$86,114
Avg daily trading value (mn)	US$846

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.47	0.89	1.27	1.85
Prior EPS (Rmb)**	-	1.0	1.3	2.2
Revenue, net (Rmb bn)	457.3	438.9	533.8	646.2
EBITDA (Rmb bn)	38.2	21.6	36.6	56.4
ModelWare net inc (Rmb bn)	41.6	16.2	25.2	39.6
P/E	22.6	35.7	23.0	14.6

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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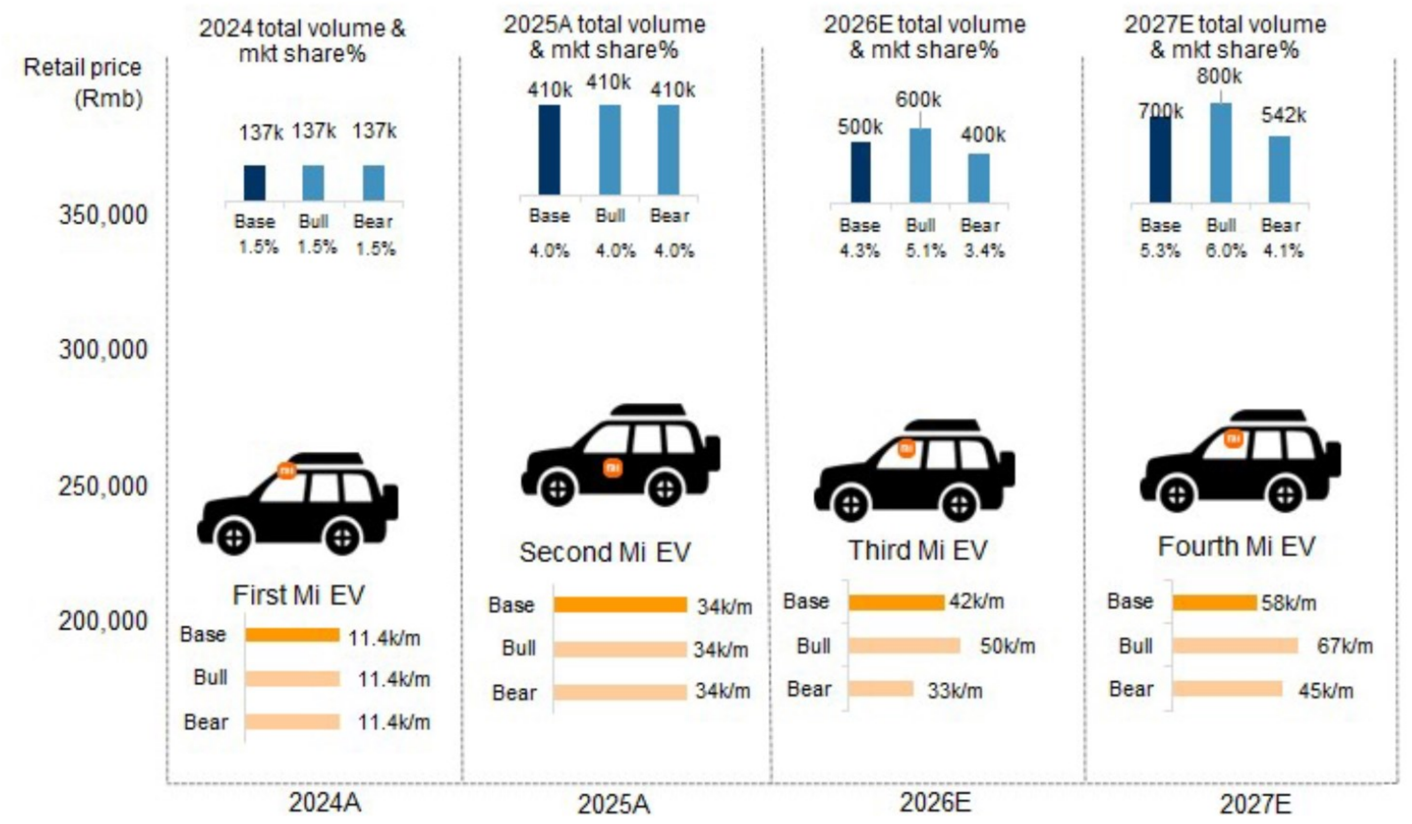
Lower 2026 forecasts for the EV business

Considering the weaker-than-expected EV market growth in 2026, we are making the following adjustments:

1. Reduce our volume forecast for total EV sales from 580k to 500k for 2026 and from 750k to 700k for 2027; and
2. Trim our vehicle gross margin assumption from 20.1% to 20.0% for 2026 while keeping our 2027 assumption unchanged at 20.0%.

As a result, our forecast for cumulative vehicle gross profit declines from Rmb91.9bn to Rmb85.3bn for 2025-2027E.

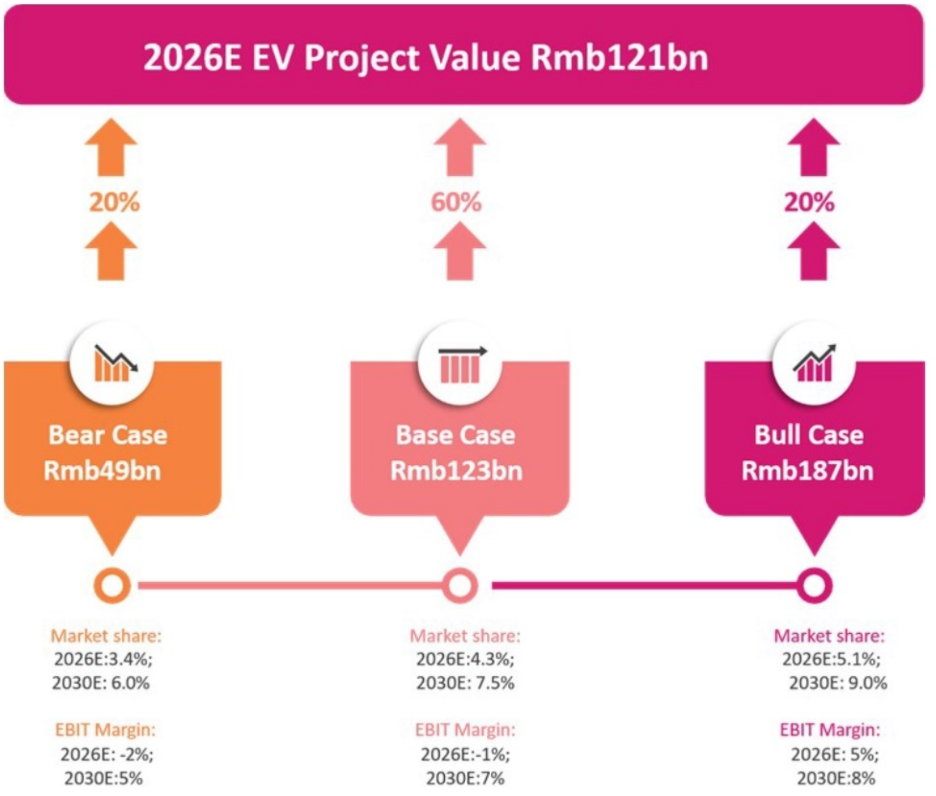
Exhibit 1: Our base/bull/bear cases for Xiaomi's Mi EV product roadmap and sales volume forecasts



Source: Company data, Morgan Stanley Research (E) estimates. Note: Market share is calculated based on domestic NEV volume.

Lower intrinsic value forecasts based on lower EV value: We continue to use a probability-weighted bull-base-bear valuation methodology (Exhibit 2) to value Xiaomi's EV business.

Exhibit 2: Our probability-weighted bull-base-bear valuation of Xiaomi's EV project



Source: Morgan Stanley Research estimates.

As illustrated in Exhibit 3 , we lower our intrinsic value estimates in our base, bull, and bear case scenarios. We assign a higher probability to the bear case (20% vs. 10% previously) and lower probability to the bull case (20% vs. 30%), reflecting a more balanced risk-reward profile. While Xiaomi's long-term EV opportunity remains intact, we believe the recent EV growth slow-down will make investors less likely to grant a higher probability to the bull case, therefore, a more balanced weighting should reflect the latest business developments. Our new weighted intrinsic value estimate is Rmb121bn, which equates to ~24% of Xiaomi's current market cap.

Exhibit 3: We lower our intrinsic value forecasts for Xiaomi's EV business (Rmb bn)

	Old		New		Change	
	Probability	Valuation	Probability	Valuation	Probability	Valuation
Bear	10%	93	20%	49	10%	-47%
Base	60%	327	60%	123	0%	-62%
Bull	30%	477	20%	187	-10%	-61%
EV value	100%	349	100%	121		-65%

Source: Morgan Stanley Research estimates

Adjusting Our Earnings Estimates...

We are revising our estimates based on the following key assumption changes:

- **Revenue:** For 2026 and 2027, we cut our forecasts by 5% and 7%, respectively, mainly due to the slowdown in smartphone and EV shipments. For smartphone, we cut shipments by 10% in 2026 and 24% in 2027 as we expect the company to raise prices more aggressively to pass through the memory cost. We see limited revenue impact as higher ASP could partially offset the lower volume.
- **Gross margin:** We raise our assumptions 0.4ppt for 2026 and 1.3ppt for 2027 to reflect better-than-expected smartphone and AIoT margins in 1Q26.
- **Non-IFRS adjusted net income:** Alongside higher-than-expected selling expenses, we cut this by 13% for 2026 and 5% for 2027 to reflect cyclical risks.

Exhibit 4: Xiaomi: Earnings estimate revisions

	New			Old			Change		
Rmb mn	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Key Financials									
Revenue	**438,947**	**533,769**	**646,211**	**460,928**	**572,269**	**711,087**	**-5%**	**-7%**	**-9%**
Smartphone	159,248	184,279	229,788	159,561	208,403	217,563	0%	-12%	6%
IoT & Lifestyles	113,931	126,276	140,039	115,607	128,152	142,140	-1%	-1%	-1%
Internet Services	38,963	44,162	47,334	38,963	44,162	47,334	0%	0%	0%
EV	122,500	175,000	225,000	142,492	187,500	300,000	-14%	-7%	-25%
Others	4,305	4,051	4,051	4,305	4,051	4,051	0%	0%	0%
Gross Profit	**90,037**	**110,299**	**139,302**	**92,854**	**110,830**	**154,391**	**-3%**	**0%**	**-10%**
Operating expenses	-76,100	-80,010	-90,470	-72,717	-78,816	-94,241	5%	2%	-4%
Selling	-33,233	-31,971	-35,542	-28,722	-31,475	-39,110	16%	2%	-9%
G&A	-6,727	-8,007	-9,693	-7,057	-8,584	-10,666	-5%	-7%	-9%
R&D	-36,139	-40,033	-45,235	-36,939	-38,757	-44,465	-2%	3%	2%
Operating income	**13,938**	**30,289**	**48,833**	**20,136**	**32,014**	**60,150**	**-31%**	**-5%**	**-19%**
Total non-op	6,180	2,000	2,000	4,028	2,000	2,000	53%	0%	0%
Net income	16,246	25,185	39,650	19,483	26,531	48,477	-17%	-5%	-18%
Non-IFRS adj. net income	**23,631**	**33,724**	**48,835**	**27,143**	**35,512**	**58,343**	**-13%**	**-5%**	**-16%**
Non-IFRS EPS (Rmb)	**0.89**	**1.27**	**1.85**	**1.03**	**1.34**	**2.21**	**-13%**	**-5%**	**-16%**
MW EPS (IFRS, RMB)	**0.61**	**0.95**	**1.50**	**0.74**	**1.00**	**1.83**	**-17%**	**-5%**	**-18%**
Margins									
Gross Margin %	**20.5%**	**20.7%**	**21.6%**	**20.1%**	**19.4%**	**21.7%**	**0.4%**	**1.3%**	**-0.2%**
Smartphone	7.0%	6.9%	11.4%	5.9%	6.9%	11.3%	1.1%	0.1%	0.1%
IoT & Lifestyles	21.9%	23.0%	23.0%	21.8%	19.9%	23.8%	0.0%	3.1%	-0.8%
Internet Services	76.7%	76.7%	76.8%	76.7%	76.7%	76.8%	0.0%	0.0%	0.0%
EV	20.0%	20.0%	20.0%	20.1%	20.0%	20.0%	-0.1%	0.0%	0.0%
Others	-9.9%	-10.0%	-10.0%	-9.9%	-10.0%	-10.0%	0.0%	0.0%	0.0%
Opex %	**17.3%**	**15.0%**	**14.0%**	**15.8%**	**13.8%**	**13.3%**	**1.6%**	**1.2%**	**0.7%**
Selling %	7.6%	6.0%	5.5%	6.2%	5.5%	5.5%	1.3%	0.5%	0.0%
G&A %	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	0.0%	0.0%	0.0%
R&D %	8.2%	7.5%	7.0%	8.0%	6.8%	6.3%	0.2%	0.7%	0.7%
Adj. Net margin %	**5.4%**	**6.3%**	**7.6%**	**5.9%**	**6.2%**	**8.2%**	**-0.5%**	**0.1%**	**-0.6%**
Key Operating Metrics									
Smartphone shipment (mn units)	109.9	120.3	149.1	122.6	157.4	161.8	-10%	-24%	-8%
MIUI MAU (mn)	754	778	802	754	778	802	0%	0%	0%
Domestic	197	201	205	197	201	205	0%	0%	0%
Overseas	556	576	596	556	576	596	0%	0%	0%

Source: Morgan Stanley Research (E) estimates

...and Price Target

We continue to derive our price target (which is also our base case value) from a sum-of-the-parts (SOTP) methodology to capture the different growth profiles of Xiaomi's business segments. We use a residual income (RI) model for three of the businesses. Our key assumptions are unchanged. We apply a CoE of 11% to the smartphone business, 11% to IoT, and 11.4% to Internet Services, with terminal growth rates of 3%, 3%, and 6%, respectively.

For the EV division's intrinsic value, we apply a DCF valuation (Exhibit 7). We reduce our volume forecasts for total EV sales from 580k to 500k for 2026, and from 750k to 700k for 2027. Our EV gross margin assumption also declines from 20.1% to 20.0% for 2026 and is unchanged at 20.0% for 2027. Other assumptions are unchanged. We continue to apply a WACC of 12.2% to the EV business with a terminal growth rate of 5%. Our base case valuation details are shown in Exhibit 5 . We also continue to apply a probability-weighted bull-base-bear valuation methodology to value Xiaomi's EV business (20% bull, 60% base, 20% bear), which results in an intrinsic value of Rmb121bn (Exhibit 21).

As a result, our price target moves down to HK$32 from HK$45 after reflecting the negative impact from an EV slowdown. Our bull case value is adjusted to HK$50 from HK $65, and bear case value shifts to HK$15 from HK$25.

Exhibit 5: Xiaomi EV DCF Valuation: base case

Rmb mn	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Vehicle valuation											
Vehicle revenue	**122,500**	**175,000**	**225,000**	**294,970**	**352,207**	**374,852**	**398,282**	**422,504**	**447,525**	**471,504**	**496,104**
YoY%	16%	43%	29%	31%	19%	6%	6%	6%	6%	5%	5%
EBIT	**-1,595**	**3,110**	**10,780**	**21,573**	**24,806**	**25,678**	**25,316**	**24,820**	**26,355**	**23,933**	**21,013**
EBIT margin - vehicle %	-1%	2%	5%	7%	7%	7%	6%	6%	6%	5%	4%
	-1%	**2%**	**5%**	**7%**	**7%**	**7%**	**6%**	**6%**	**6%**	**5%**	**4%**
Net profit	**-1,356**	**2,644**	**9,163**	**18,337**	**19,845**	**20,543**	**20,252**	**19,856**	**21,084**	**19,147**	**16,810**
Net margin - vehicle %	-1.1%	1.5%	4.1%	6.2%	5.6%	5.5%	5.1%	4.7%	4.7%	4.1%	3.4%
Terminal value											**213,786**
Discount factor	0.89	0.79	0.71	0.63	0.56	0.50	0.45	0.40	0.35	0.32	0.28
Enterprise value	**119,478**	**140,847**	**163,284**	**180,417**	**191,141**	**199,606**	**203,991**	**208,905**	**214,897**	**220,305**	**228,487**
Total Equity Value	**119,478**	**140,847**	**163,284**	**180,417**	**191,141**	**199,606**	**203,991**	**208,905**	**214,897**	**220,305**	**228,487**
Software valuation											
Software revenue	**10**	**26**	**52**	**93**	**250**	**473**	**763**	**1,119**	**1,282**	**1,449**	**1,620**
YoY%		149%	100%	79%	170%	89%	61%	47%	15%	13%	12%
Unlevered Free Cash Flow	**3**	**8**	**19**	**34**	**82**	**159**	**261**	**388**	**461**	**527**	**594**
% Margin	28.5%	32.7%	36.1%	36.4%	32.8%	33.6%	34.2%	34.7%	36.0%	36.3%	36.7%
Terminal value											**8,643**
Discount factor	0.89	0.79	0.71	0.63	0.56	0.50	0.45	0.40	0.35	0.32	0.28
Enterprise value	**3,781**	**4,239**	**4,748**	**5,307**	**5,918**	**6,549**	**7,171**	**7,754**	**8,266**	**8,759**	**9,238**
Total Equity Value	**3,781**	**4,239**	**4,748**	**5,307**	**5,918**	**6,549**	**7,171**	**7,754**	**8,266**	**8,759**	**9,238**
DCF Valuation											
Vehicle Equity Value	119,478	140,847	163,284	180,417	191,141	199,606	203,991	208,905	214,897	220,305	228,487
Software Equity Value	3,781	4,239	4,748	5,307	5,918	6,549	7,171	7,754	8,266	8,759	9,238
Total Equity Value	**123,259**	**145,086**	**168,032**	**185,724**	**197,059**	**206,155**	**211,162**	**216,659**	**223,163**	**229,063**	**237,724**

Source: Company data, Morgan Stanley Research (E) estimates

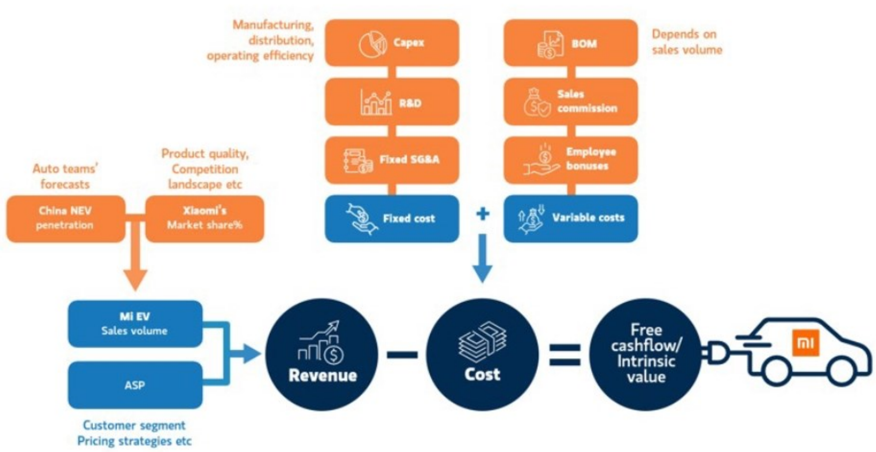
Exhibit 6: Xiaomi: Residual income valuation for smartphone, IoT and Internet Service businesses; probability-weighted DCF model for EV business

Residual Income Valuation

Rmb mn	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Smartphone											
Total equity	115,518	125,751	149,757	150,474	151,219	151,995	152,801	153,632	154,487	155,369	156,276
Net profit	(5,098)	(5,581)	7,114	7,169	7,456	7,754	8,065	8,307	8,556	8,812	9,077
ROE %	-4%	-5%	6%	5%	5%	5%	5%	5%	6%	6%	6%
Residual income	**(17,658)**	**(18,288)**	**(6,719)**	**(9,304)**	**(9,096)**	**(8,880)**	**(8,655)**	**(8,502)**	**(8,344)**	**(8,181)**	**(8,014)**
Terminal value											(103,178)
Equity value	**20,824**										
IoT											
Total equity	82,645	86,170	91,266	94,076	97,224	100,750	104,698	109,121	114,074	119,572	125,620
Net profit	13,293	16,450	20,623	18,737	20,986	23,504	26,324	29,483	33,021	36,654	40,319
ROE %	18%	20%	24%	21%	22%	24%	26%	28%	30%	32%	34%
Residual income	**4,993**	**7,359**	**11,144**	**8,698**	**10,637**	**12,809**	**15,242**	**17,966**	**21,018**	**24,105**	**27,166**
Terminal value											349,763
Equity value	**287,384**										
Internet service											
Total equity	84,406	95,833	106,382	117,458	128,978	141,610	154,622	168,024	181,828	195,770	209,712
Net profit	15,436	22,854	21,098	22,153	23,039	25,265	26,023	26,804	27,608	27,884	27,884
ROE %	20%	27%	22%	21%	20%	20%	18%	17%	16%	15%	14%
Residual income	**6,674**	**13,211**	**10,149**	**9,999**	**9,619**	**10,530**	**9,844**	**9,138**	**8,411**	**7,110**	**5,517**
Terminal value											102,814
Equity value	**176,412**										
EV											
Equity Value	**121,225**										
Xiaomi's AI Investment											
Equity Value	**32,000**										
Xiaomi's External Investment											
Fair value of investment	**87,100**										
Aggregate Valuation											
Total equity value	**724,945**										
# of shares	25,774										
Per share price (RMB)	28.1										
Per share price (HKD)	**32.0**										
Implied P/E (x)	**22.1**										
Implied P/B (x)	**2.4**										

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 7: Our framework to assess the intrinsic value of Xiaomi's EV project



Source: Morgan Stanley Research

Exhibit 8: Changes of valuation by segment

Rmb bn	New	Old	Pct. Of Change
Smartphone	21	20	2%
AIoT	287	299	-4%
Internet services	176	283	-38%
EV	121	349	-65%
AI investment	32	-	NM
External investment	87	69	26%
Total Equity Value	**725**	**1,020**	**-29%**

Source: Company data, Morgan Stanley Research (E) estimates

Financial Summary

Exhibit 9: Xiaomi: Financial Summary

Xiaomi Corp (1810.HK)
Financial Summary

Rmb mn	2025	2026E	2027E	2028E
Net Sales	**457,287**	**438,947**	**533,769**	**646,211**
COGS	(355,481)	(348,910)	(423,469)	(506,908)
Gross Profit	**101,806**	**90,037**	**110,299**	**139,302**
Selling	(33,214)	(33,233)	(31,971)	(35,542)
G&A	(6,653)	(6,727)	(8,007)	(9,693)
R&D	(33,132)	(36,139)	(40,033)	(45,235)
Operating Income	**28,806**	**13,938**	**30,289**	**48,833**
Finance costs, net	1,746	1,616	2,000	2,000
Investment income	13,638	1,992	-	-
Others	5,457	2,572	-	-
Pre-tax Income	**49,647**	**20,117**	**32,289**	**50,833**
Income Tax	(8,081)	(3,872)	(7,104)	(11,183)
Profit for the year	**41,566**	**16,246**	**25,185**	**39,650**
Minority interests	(77)	-	-	-
Net Income	**41,489**	**16,246**	**25,185**	**39,650**
Non-IFRS Net Income	**39,166**	**23,631**	**33,724**	**48,835**
EPS (non-IFRS, RMB)	**1.47**	**0.89**	**1.27**	**1.85**
MW EPS (IFRS, RMB)	**1.56**	**0.61**	**0.95**	**1.50**
EBITDA	**32,739**	**19,070**	**36,622**	**56,366**
Balance Sheet	**2025**	**2026E**	**2027E**	**2028E**
CCE	31,493	29,496	37,898	58,599
Inventory	80,989	83,467	106,368	133,693
Trade receivables	15,240	16,092	21,524	28,665
Other current assets	127,088	127,088	127,088	127,088
Total current assets	**254,811**	**256,143**	**292,880**	**348,046**
Net PPE	27,950	40,818	52,485	62,952
Other non-current assets	225,335	225,335	225,335	225,335
Total non-current assets	**253,285**	**266,152**	**277,820**	**288,287**
Trade payables	110,699	108,653	131,872	157,855
Borrowings - short term	13,202	13,202	13,202	13,202
Other current liabilities	68,504	68,504	68,504	68,504
Total current liabilities	**192,405**	**190,359**	**213,578**	**239,561**
Borrowings - long term	22,921	22,921	22,921	22,921
Other non-current liabilities	26,446	26,446	26,446	26,446
Total non-current liabilities	**49,367**	**49,367**	**49,367**	**49,367**
Net Assets	**266,323**	**282,569**	**307,755**	**347,404**
Paid-in capital	0	0	0	0
Capital reserves	266,218	282,464	307,649	347,299
Minority interests	105	105	105	105
Total shareholder's equity	**266,323**	**282,569**	**307,755**	**347,404**
Cash Flow Statement	**2025**	**2026E**	**2027E**	**2028E**
Cash flow from operations	**34,142**	**16,003**	**26,402**	**38,701**
Net income	41,489	16,246	25,185	39,650
Depreciation	3,933	5,133	6,333	7,533
Change in working capital	(6,712)	(5,375)	(5,116)	(8,481)
Others	(4,568)	-	-	-
Cash flow from investing	**(71,679)**	**(18,000)**	**(18,000)**	**(18,000)**
Capex	(18,157)	(18,000)	(18,000)	(18,000)
Others	(53,522)	-	-	-
Cash flow from financing	**30,766**	**-**	**-**	**-**
Net borrowings	-	-	-	-
Dividend paid	-	-	-	-
Proceeds from new issues	-	-	-	-
Others	30,766	-	-	-
Changes in cash	**(6,747)**	**(1,997)**	**8,402**	**20,701**

Ratio Analysis	2025	2026E	2027E	2028E
Growth %				
Net Sales	25%	-4%	22%	21%
Gross Profit	33%	-12%	23%	26%
EBIT	34%	-52%	117%	61%
EBITDA	35%	-42%	92%	54%
Pre-tax Income	77%	-59%	61%	57%
Net Income (Non-IFRS)	44%	-40%	43%	45%
Margins %				
Gross Margin	22.3%	20.5%	20.7%	21.6%
EBIT Margin	6.3%	3.2%	5.7%	7.6%
EBITDA Margin	7.2%	4.3%	6.9%	8.7%
Net Profit Margin	8.6%	5.4%	6.3%	7.6%
Retrun %				
ROE	18%	6%	9%	12%
ROA	8%	3%	4%	6%
Gearing %				
Net Debt/Equity	3%	4%	1%	-5%
Liabilities/Equity	91%	85%	85%	83%
Segment Analysis	**2025**	**2026E**	**2027E**	**2028E**
Revenue				
Smartphone	186,440	159,248	184,279	229,788
IoT	123,200	113,931	126,276	140,039
Internet Services	37,440	38,963	44,162	47,334
Others	4,137	4,305	4,051	4,051
Revenue YoY%				
Smartphone	-3%	-15%	16%	25%
IoT	18%	-8%	11%	11%
Internet Services	10%	4%	13%	7%
Others	30%	4%	-6%	0%
Gross Profit				
Smartphone	20,266	11,154	12,797	26,125
IoT	28,423	24,920	29,044	32,209
Internet Services	28,640	29,890	33,864	36,374
Others	(1,287)	(427)	(405)	(405)
Gross Margin				
Smartphone	10.9%	7.0%	6.9%	11.4%
IoT	23.1%	21.9%	23.0%	23.0%
Internet Services	76.5%	76.7%	76.7%	76.8%
Others	-31.1%	-9.9%	-10.0%	-10.0%
Smartphone Shipment				
China	44	29	32	38
India	20	13	15	18
EMEA	60	38	40	52
Others	42	30	33	41
Blended ASP (Rmb)	**1,128**	**1,449**	**1,531**	**1,541**
MIUI MAUs	**754**	**754**	**778**	**802**
China	190	197	201	205
Oversea	564	556	576	596
Valuation	**2025**	**2026E**	**2027E**	**2028E**
P/E	13.0	21.3	14.9	10.3
P/B	1.8	1.7	1.5	1.4
P/S	1.0	1.1	0.9	0.7
EV/EBITDA	13.8	23.8	12.4	8.0

Source: Company data, Morgan Stanley Research estimates

Risk Reward – Xiaomi Corp (1810.HK) Top Pick

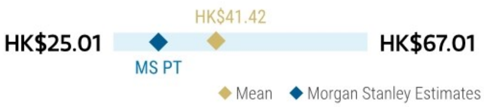
Key Beneficiary of AI Home Appliance Market; Top Pick

PRICE TARGET HK$32.00

Base case, sum of the parts.

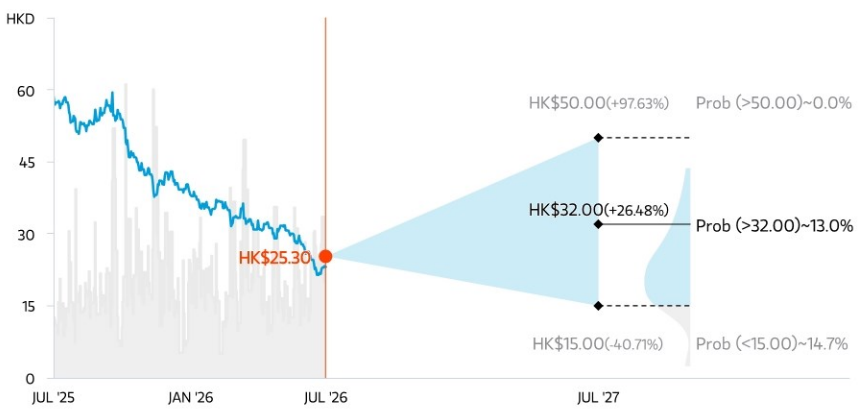
- Residual income (RI) model for three of the units. We apply a CoE of 11% to the smartphone business, 11% to IoT, and 11.4% to Internet Services, with terminal growth rates of 3%, 3%, and 6%, respectively.
- EV business: DCF, probability-weighted 20% bull, 60% base, 20% bear to reflect likely success for the EV business. WACC 12.2%, terminal growth rate 5%.
- We add the value of investments.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



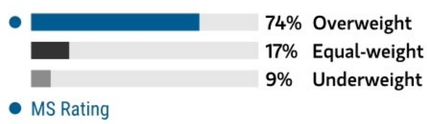
Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 8 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

OVERWEIGHT THESIS

- With innovative product launches and better product mix, we believe Xiaomi is well positioned to capitalize on the evolution of the AI-enabled home appliance market.
- After the recent share price correction, we believe most cyclical risks are largely priced in. This brings a good investment opportunity on a 12- to 18-month horizon. Our SOTP valuation implies attractive risk-reward.
- We think Xiaomi's unique "Human + Car + Home" model and diversified revenue exposure will make it more competitive than peers.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: *Positive*
Electric Vehicles: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE HK$50.00

35x 2027e base case non-IFRS EPS

Smaller-than-expected memory price hikes with rapid market share gain for premium smartphones: Smaller-than-expected memory price hikes would be a positive for smartphone gross margin. Rapid market share gains in premium smartphones might not only lift near-term revenue and earnings but also boost long-term revenue and margin expectations. Also, faster-than-expected overseas AIoT growth and better-than-expected new EV model performance could bring further upside.

BASE CASE HK$32.00

22x 2027e base case non-IFRS EPS

Smartphone headwinds still on, new EV launch a potential catalyst in 2H26: With surging memory cost, smartphone headwinds are still there and investors are monitoring the smartphone margin trend to gauge the inflection point. We expect the new EV launching in 2H26 to become a catalyst while AIoT revenue is also likely to regain positive momentum in 2H26.

BEAR CASE HK$15.00

10x 2027e base case non-IFRS EPS

Rising geopolitical tension, weaker-than-expected new EV performance: Rising geopolitical tensions could result in key component supply issue or sales performance in overseas countries. Meanwhile, new EV launching in 2H26 is not well received by the end market. If so, it could have a negative impact on earnings, valuation, and stock performance.

Risk Reward – Xiaomi Corp (1810.HK)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Smartphone volume YoY (%)	(1.9)	(33.5)	9.5	23.9
Smartphone ASP YoY (%)	(0.9)	28.4	5.7	0.6
MIUI MAU (mn) (Rmb, mn)	754	754	778	802

INVESTMENT DRIVERS

- Smartphone margin trend and memory cost
- Penetration of midrange to high-end smartphone market to lift ASP and Internet service ARPU
- Increase in MIUI ARPU
- EV shipments and customer satisfaction

GLOBAL REVENUE EXPOSURE

- 0-10% India
- 0-10% UK
- 20-30% Europe ex UK
- 60-70% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

3/5 MOST 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Better-than-expected orders and customer feedback for the new EV model
- Good ramp-up for offline expansion in China with strong volume contribution
- Higher share gain in overseas markets

RISKS TO DOWNSIDE

- Continued fierce EV competition
- Smartphone gross margin pressure from inventory de-stocking and weak demand
- More concerns about smart EV investment, which could exert pressure

OWNERSHIP POSITIONING

Inst. Owners, % Active 42.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

	Low	Morgan Stanley Estimates	Mean	High
Sales / Revenue (Rmb, mn)	436,630.0	438,947.2	485,954.8	553,762.0
EBIT (Rmb, mn)		16,509	30,081.2	40,182.0
EBITDA (Rmb, mn)		21,642	36,623.5	51,521.0
Net income (Rmb, mn)	22,139.4	23,631	29,870.4	39,818.0
EPS (Rmb)	0.8	0.9	1.1	1.5

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of June 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Stock Rating History: 7/1/21 : O/I

Price Target History: 5/27/21 : 33.5; 11/4/21 : 31.5; 12/17/21 : 27; 5/18/22 : 14; 8/5/22 : 13.4; 11/15/22 : 12; 1/9/23 : 15; 11/10/23 : 19; 1/15/24 : 19.5; 3/11/24 : 17.5; 4/12/24 : 20; 5/30/24 : 25; 7/15/24 : 25.5; 9/3/24 : 26; 11/15/24 : 35; 2/3/25 : 45; 5/9/25 : 62; 3/23/26 : 45

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target -·   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ▬
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/08/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$39.02
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb216.81
BYD Electronics (0285.HK)	O (04/28/2023)	HK$21.36
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.10
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.96
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb510.84
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT$612.00
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.40
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.35
Largan Precision (3008.TW)	E (10/17/2025)	NT$3,950.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.55
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb8.78
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$6.92
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb50.12
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$32.34
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb62.25
Sunny Optical (2382.HK)	E (03/23/2026)	HK$57.45
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb245.68
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb18.53
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$25.30
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb410.00
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK$151.90
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb120.56
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb32.04
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb1,128.35

ZTE Corporation (0763.HK)	O (06/04/2026)	HK$23.20
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb36.87
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$2,415.00
Advantech (2395.TW)	O (01/20/2021)	NT$546.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,345.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$29.55
Bizlink (3665.TW)	O (03/10/2025)	NT$1,900.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb7.63
Chenbro (8210.TW)	O (07/23/2025)	NT$1,195.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,855.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT$199.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$61.90
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$340.00
Innolux (3481.TW)	E (04/07/2025)	NT$65.20
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$8,095.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb46.05
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT$90.90
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb5.04
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb7.86
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb297.10
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$32.30
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$687.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT$35.50
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$6.17
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$335.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$1,150.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb78.17
Lenovo (0992.HK)	E (11/16/2025)	HK$22.32
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT$1,990.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,105.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$83.80
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$377.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb145.46
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb402.33
Unimicron (3037.TW)	O (02/23/2026)	NT$863.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$146.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$5,050.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$891.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT$565.00
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,325.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$925.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$195.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,885.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,395.00
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb66.01
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb20.41
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$237.50
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,095.00
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb15.06
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$214.00
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb62.47
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$335.00

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